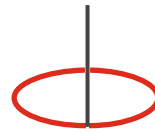


Initiating Coverage

20th September, 2022



DALAL & BROACHA
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Investment Argument:

We initiate coverage on Stylam Industries (SYIL) with a BUY rating with a target price of INR 1,250 (18x FY24E P/E, median P/E 24) as it is on track to achieve high growth due to revival of domestic demand in the laminates segment, exports growing and the change in the consumer preference towards greater aesthetics in the home decor segment. The company has established itself as one of the largest player in the laminates industry with a very strong presence in the exports with a market share of ~9% overall. Post scaling up their capacity (from 6.4mn to 14.3 mn sheets) it has a renewed focus in the domestic markets where it is increasing the distribution network and gaining market share. Further leg of growth will be aided by the entry in the solid acrylic sheets which has an import substitution opportunity of ~INR 600 crores. To increase the share of value added products the company announced in Q1FY23 that it would be expanding its laminate capacity by 40% at a capex of 40 crores having a revenue potential of INR 350-400 crores. Moreover the scope of margin expansion exists of almost 130bps minimum with increasing capacity utilisation and sale of high value added products.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	4,621	4,795	6,593	9,330	10,857
EBIDTA	796	990	1,036	1,462	1,877
Margins (%)	17.2	20.7	15.7	15.7	17.3
Adjusted net profit	341	553	610	884	1,177
EPS (Rs)	20.1	32.6	36.0	52.2	69.5
P/E (x)	54	33	30	21	16
EV/EBITDA (x)	24	19	18	13	9
RoCE (%)	19.65	25.13	21.08	26.64	28.83
RoE (%)	9.26	21.32	19.30	22.09	22.91

Source: Dalal & Broacha Research

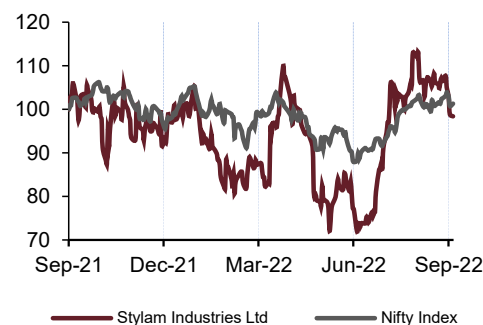
Rating	TP (Rs)	Up/Dn (%)
BUY	1,250	17

Market data

Current price	Rs	1,066
Market Cap (Rs.Bn)	(Rs Bn)	18
Market Cap (US\$ Mn)	(US\$ Mn)	226
Face Value	Rs	5
52 Weeks High/Low	Rs	1,269/760
Average Daily Volume	('000)	35
BSE Code		526951
Bloomberg		SYIL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	54.61	54.61
Public	45.39	45.39
Total	100	100

Source: Bloomberg

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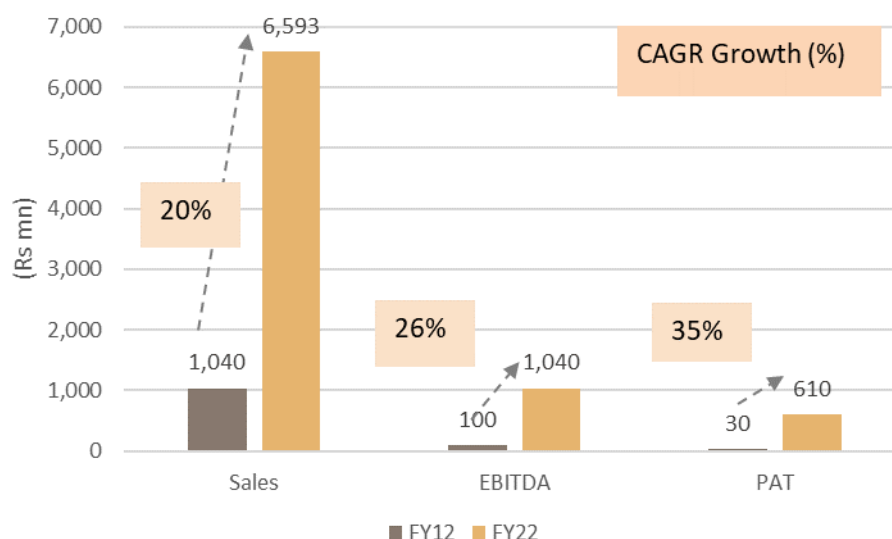
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Investment Rationale:

➤ Outperformance over peers

The company has grown its revenue over the last 10 years at a CAGR of ~20% which is significantly higher than its peers, much of this is contributed by a lower base. Over the years the company has been able to improve its EBITDA margins by almost ~750bps despite not having high realisation per sheet indicating strong cost controls and benefiting from operating leverage. From FY12-22, the company has clocked EBITDA/PAT CAGR of ~26%/35%.

Exhibit 1: Sales, EBITDA & PAT Outperformance



Source: Dalal & Broacha Research

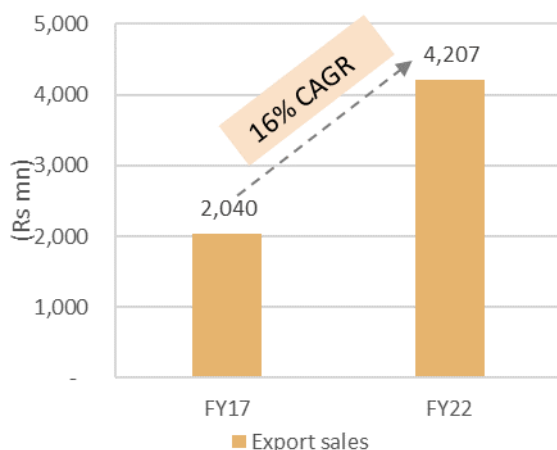
➤ Strong export presence:**

For FY22, exports contributed about 64% of the total revenues and on absolute basis the export revenue has almost doubled in the last 5 years which is a testament of its quality and cost competitiveness. Stylam is among the leading laminates exporters with an export market share of ~20%. Approximately 70% of the exports are made under the brand name of Stylam. The company has presence over 65 countries and it is now expanding footprints in South America. It is the largest exporter to Europe from India. The company recently received a status of "Three star export house" which indicates its excellence in international trade.

➤ **Gearing up for domestic market:****

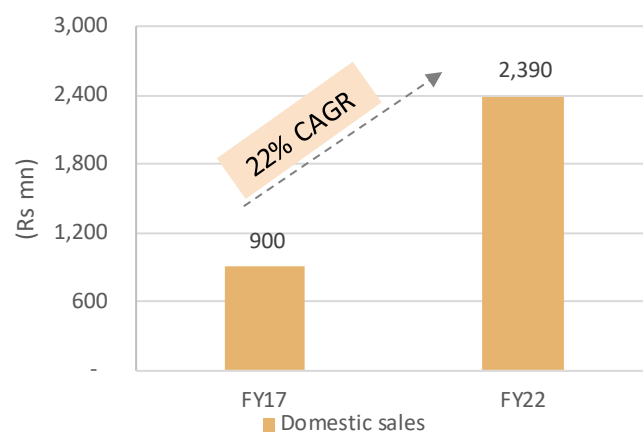
The company increased its focus on domestic markets post capacity expansion and it can be witnessed in the sales which has increased almost 2.5x in the last 5 years. The contribution from sales in domestic market has increased from ~25% to 36% currently in the last 10 years. Various initiatives have been taken by the company to increase their brand reach such as advertisement campaigns, hiring sales professional team from leading wood panel companies and collaborating with various architects to understand their requirements. The real estate market in India is now revived after a long time which should continue for another few years and this has lead to an increase in demand in the country.

Exhibit 2: Export Sales



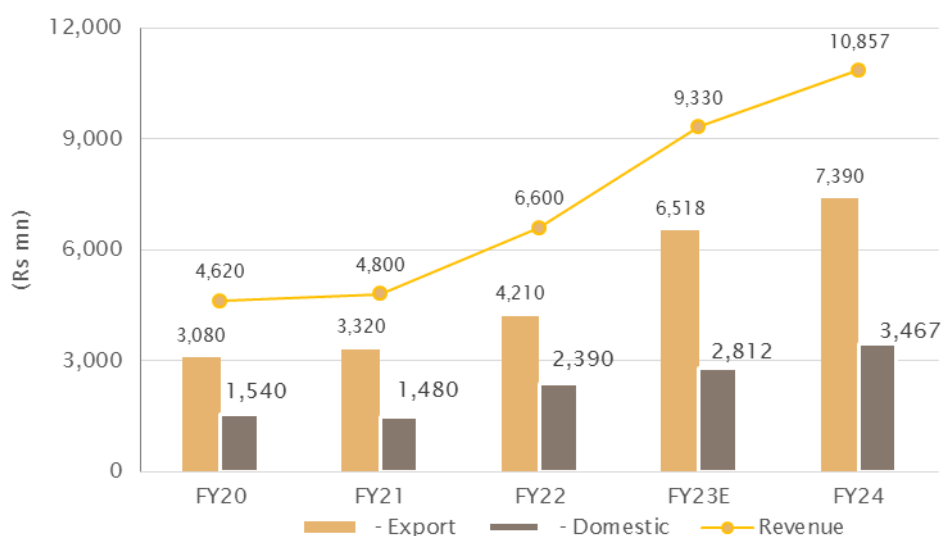
Source: Dalal & Broacha Research

Exhibit 3: Domestic Sales



Source: Dalal & Broacha Research

Exhibit 4: Revenue Trajectory



Source: Dalal & Broacha Research

➤ Expanding product portfolio:

- Stylam Industries has forayed into manufacture of **solid acrylic surfaces (artificial marble)** post amalgamation with Golden Chemtech in 2016. It is probably the only player who is into manufacturing of acrylic sheets (under the brand name GRANEX) and it is confident of replacing the imports where the entire demand of the country was catered by Korea and China. It is an import substitution opportunity of INR 600-700 crores due to countries trying to reduce their dependency from China. The company is expecting significant traction in this segment. The first line has already been set up and the second line will be operational from June 2022. The company has indicated that the revenue potential of the investments (capex of INR 50 crores) that they have done in the past few years in this segment is ~INR 300-400crores minimum. Progress in this segment will be closely tracked.
- The company had announced its plans to enter the plywood segment at a total capex of INR 60 crores. With its **entry in plywood**, the company can generate ~ INR 150-200 crores in revenue. Currently the plan to enter the plywood segment has been delayed temporarily to focus on its existing segments.

Acrylic solid surface is an ideal choice for new or renovation of interior projects as it is built to last a lifetime as it is the most durable solid surface material on the market today.

Product Applications

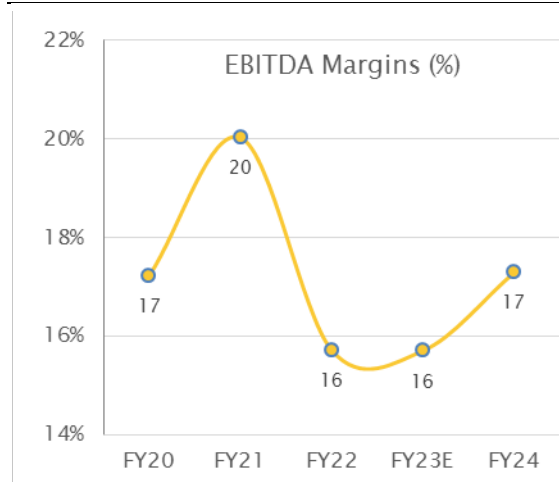


Source: Company, Dalal & Broacha Research

➤ **Operating leverage to drive margins:**

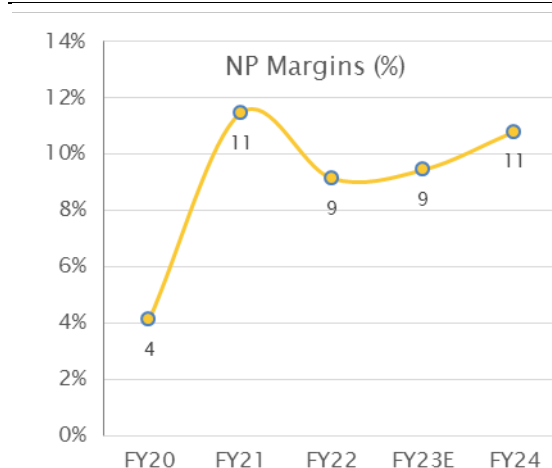
In the past few years the company has already spent ~ INR 180-200 crores on capacity expansion in laminates and product portfolio extension and with capacity utilization levels close to 65% (FY22), we believe further operating leverage should play a part in margin expansion and thereby improve the return ratios. Improvement in the product mix will also help generate better realisation/sheet which is margin accretive. The company can even further expand capacities with a minimum investment as they already possess huge land bank.

Exhibit 5: EBITDA margins



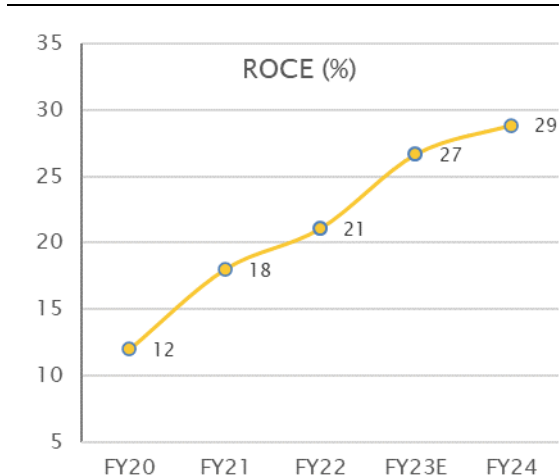
Source: Dalal & Broacha Research

Exhibit 6: NP margins



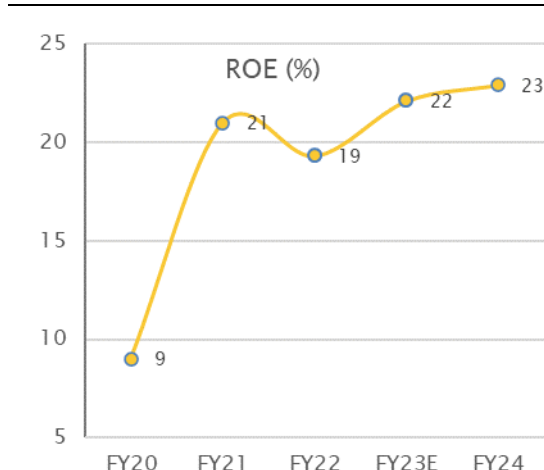
Source: Dalal & Broacha Research

Exhibit 7: ROCE



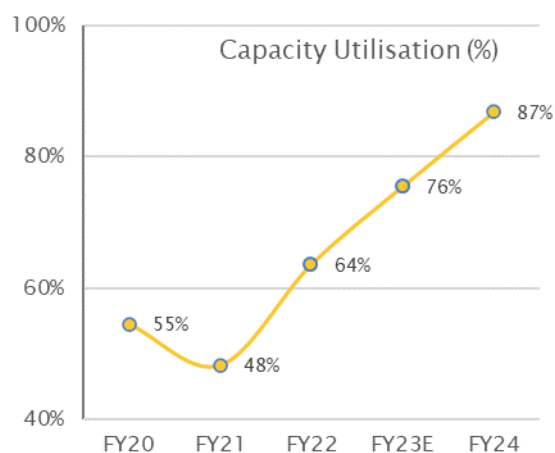
Source: Dalal & Broacha Research

Exhibit 8: ROE



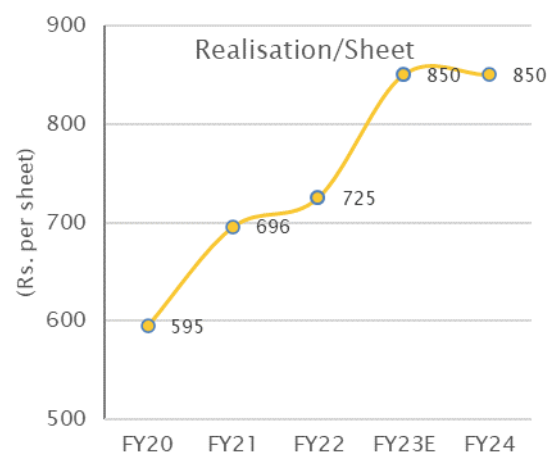
Source: Dalal & Broacha Research

Exhibit 9: Capacity Utilisation



Source: Dalal & Broacha Research

Exhibit 10: Realisation/sheet

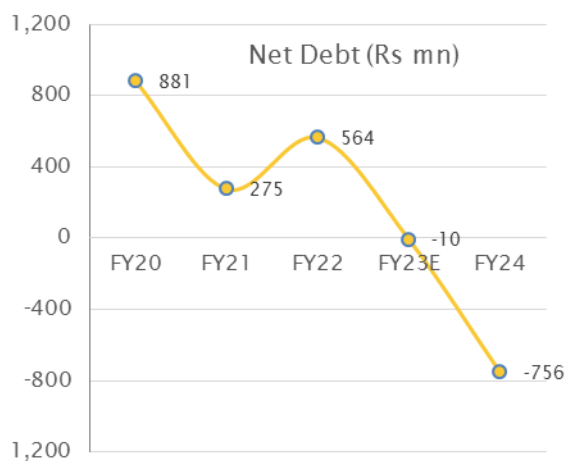


Source: Dalal & Broacha Research

➤ **To be net debt free by FY23:**

The company has indicated that it is on track to be net debt free by FY23 indicating a strong balance sheet position and it will lead to ~INR 3 crores of interest savings. Any further expansion can be financed mostly via internal accruals due to the strong cashflow position.

Exhibit 11: Net Debt



Source: Dalal & Broacha Research

Key highlights for FY22

- Robust topline growth**

The revenue clocked a healthy growth of 37% overall lead by the domestic revenues increasing by 61% and exports by 27%. As per the management commentary in Q4 concall, domestic and export markets is seeing good demand and expects to grow in a similar way as they did in FY22. The volume growth achieved was 33% from 6.9mn sheets in FY21 to 9.2mn sheets in FY22. The domestic market for laminates segments is growing and we believe going forward Stylam Industries will gain further market share due to capacity being available to cater to the demand.

- Margins under pressure**

In FY22 the laminate industry has faced extreme inflationary pressure in its key raw materials, unprecedented increase in freight costs and logistics issues where it was difficult to pass on the costs to the end customers thereby margins getting affected. Certain price hikes had been taken but it was insufficient to cover the increase in costs. The raw material costs were at the peak in Q3 as the prices of all grades of kraft had gone up by almost 25 percent, thus taking total increase to almost Rs. 20 per kg over last 2 years. The prices of phenol are directly linked to crude and they have been very volatile.

Key highlights of last 9 quarters performance:

(Rs. mn)

Particulars	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	Q4FY22	Q1FY23
Sales excl other income	703	1,150	1,241	1,702	1,308	1,720	1,769	1,797	2,350
Gross Margin (%)	47.09	49.62	49.46	47.87	47.16	41.52	44.21	40.36	43.10
EBITDA excl other income	145	245	255	345	262	245	331	198	353
EBITDA Margin (%)	20.68	21.28	20.54	20.29	20.04	14.23	18.70	11.02	15.03
NP	56	137	125	234	139	150	156	165	209
Net profit Margin (%)	7.92	11.92	10.10	13.72	10.58	8.53	9.02	8.82	8.90

Source: Dalal & Broacha Research

VISION 2022-2025

- Increase capacity utilisation on the back of completed expansion (capacities in place to double revenues). The management is aiming to double the revenues by 2025.
- Improve and enhance share of value-add products in the product mix as well as expanding the product range.
- Strengthen domestic presence with a deeper reach and penetration and creation of a strong brand.
- Expand coverage across newer exports regions along with increasing business with existing partners.
- Setting up the Plywood manufacturing facility - Stylam Panels Limited incorporated.
- To be a net debt free Company.

Key Risks

- Inflation: In a scenario where inflation is not under control and the prices of key raw materials shoot up especially kraft paper, phenol & melamine margins will be affected.
- Competition As the laminate industry in India is an aggregation of myriad small and large players, both in the organised and unorganised sector, competition from small and unorganised players may affect business.
- Slowdown in economy and the real estate demand will severely affect the demand in the entire wood panel space.
- More than 65% of revenues are derived from the Exports, majority being Europe. Hence, any economic crisis that hits the developed economies is sure to have a significant impact on the Company's financial performance.
- With significant exports and foreign currency liabilities, the Company is always exposed to global currency fluctuations.

Financial Analysis

- Over FY17-22, Stylam Industries has clocked a revenue/ebitda/np CAGR of 18%/18%/25% which is industry leading.
- The company is one of the largest player in the laminates industry with a market share of ~20% in exports and an overall market share ~9%. We expect going forward the company will be gaining more market share in the domestic market as its brand equity builds further.
- The company has increased its capacity in laminates business from 6.4mn sheets to 11mn in FY17 which was further increased to 14.3mn in H2FY20. The capacity in the solid acrylic sheets is currently 1,00,000 panels/year.
- The company has been able to expand their margins by ~750bps despite not having high realisation/sheet indicating strong cost control, efficiency in operations and benefiting from operating leverage.
- Due to its strong cashflow position the debt has been reduced from the peak of INR 170 crores in FY19 to currently INR 60 crores and targeting to be net debt free by FY23.
- The working capital cycle is fairly constant at approx 90 days which we believe is reasonable considering that its exports constitutes 64% of total sales.
- ROE (19%) and ROCE (21%) has been improving over the years and we expect it to improve further as capacity utilisation will increase and company targeting to be net debt free in FY23.

Valuation & Outlook

We believe Stylam Industries has a promising future ahead with the potential to double their revenue by FY25 due to factors such as increasing capacity utilisation, strong brand in the exports market, building its brand name in the domestic markets and entering into new product segments that will drive the next leg of growth. We expect operating leverage will kick in and the return ratios will improve going forward. Stylam Industries has significantly outperformed its peer over the last decade and over FY22-24E we expect revenue/ebitda/pat CAGR of 28%/35%/39%.

We initiate coverage on Stylam Industries (SYIL) with a BUY rating and a target price of Rs 1,250 (18x FY24E P/E, median P/E of 24). At the CMP of INR 1066, it is currently trading at 20x/15x FY23E/FY24E EPS (~52.2/69.5) implying an upside of 17%. We have valued the company lower than its median P/E (24x) due to its heavy dependency on the exports market and the current macroeconomic conditions not being the most favorable. Any adverse change in the macro environment will have a risk on the upside.

VALUATION	Bull case	Neutral	Bear case
EPS	69.45	69.45	69.45
P/E	22	20	18
Target Price	1,528	1,389	1,250
CMP	1,066	1,066	1,066
Upside %	43.34%	30.31%	17.28%

Peer Comparison of Key metrics in laminates division

Greenlam Industries					(Rs in mn)
Particulars	FY18	FY19	FY20	FY21	FY22
Sales	9,840.0	10,840.0	11,220.0	10,650.0	15,560.0
Capacity (mn sheets)	13.7	14.0	14.9	15.6	15.6
Production (mn sheets)	13.9	13.7	13.7	13.6	16.8
Capacity utilisation (%)	101.0	98.0	92.0	87.0	107.0
Realisation/sheet	693.0	801.0	797.0	765.0	901.0
Gross Margins (%)	46.9	46.5	50.0	51.1	45.0
EBITDA margins(%)	13.6	13.6	15.7	16.7	12.7

Century Plyboards					
Particulars	FY18	FY19	FY20	FY21	FY22
Sales	3,700.0	4,320.0	4,550.0	4,080.0	5,670.0
Capacity (mn sheets)	8.8	8.8	8.8	8.8	8.8
Production (mn sheets)	5.4	5.9	6.2	5.5	6.7
Capacity utilisation (%)	62.0	67.0	71.0	63.0	76.0
Realisation/sheet	669.0	718.0	713.0	712.0	808.0
Gross Margins (%)	34.5	27.8	35.5	39.0	36.1
EBITDA margins(%)	15.8	8.8	13.5	17.9	15.7

Stylam Industries					
Particulars	FY18	FY19	FY20	FY21	FY22
Sales	3,395.4	4,606.2	4,621.5	4,758.5	6,596.3
Capacity (mn sheets)	11.1	11.1	14.3	14.3	14.3
Production (mn sheets)	6.4	7.5	7.8	6.9	9.2
Capacity utilisation (%)	57.7	67.6	54.5	48.3	64.3
Realisation/sheet	534.0	576.0	595.0	689.0	717.0
Gross Margins (%)	46.2	43.6	46.1	48.6	43.0
EBITDA margins(%)	15.0	17.3	17.2	20.7	15.7

Source: Dalal & Broacha Research

Analysis

In terms of revenue and capacity, Greenlam Industries is the largest player in the laminates industry (amongst the listed companies) but from FY17-22, Stylam Industries has outperformed its peers in terms of revenue/ebitda/pat which has grown at a CAGR of 18%/18%/25% respectively.

Stylam's EBITDA margins are industry leading despite having lower utilization levels and lower realization per sheet. We believe that going forward as well, the company will be able to outperform its peers in-terms of overall growth.

We have valued Stylam Industries at 18x FY24E (median P/E of 24x) as against the listed peers that are valued at 30x FY24E. Stylam Industries has a high margin of safety in terms of valuations v/s peers.

Overview of the Laminates and Solid Acrylic Surface Industry

Global Laminates Industry: (Source: company AR)

The global decorative laminates market has been expanding buoyed from demand due to increasing population and urbanisation leading to increased demand in real estate and is expected to reach USD 10 billion by 2030 from USD 7 billion in 2020. Some of the drivers in the global market are:

- Inclination toward better lifestyle and rise in interest in home interior and remodeling especially in young adults who are ready to explore the DIY mode
- Increased consumer demand for aesthetically appealing interiors and furniture especially work and study desks as people spend more time in their homes and working remotely.
- Rapid growth of the residential sector in urban as well as semi-urban areas and rise in reconstruction and renovation activities in regions of North America and Europe are estimated to contribute significantly to the overall market growth.

Decorative laminates are preferred over veneers, paints, and coatings on account of their durability, cost-effectiveness, long shelf-life, and improved aesthetic value. Owing to this, they are majorly used for decorating and protecting cabinets, walls, furniture, flooring, etc. There is a growing inclination towards aesthetically appealing designs in home interiors and corporate office spaces, which is also catalysing the product demand.

Recently the demand for ready-to-assemble (RTA) flooring, furniture and cabinets have witnessed a significant rise, owing to which the need for decorated laminates is also increasing across the globe. Additionally, there is a rising demand for decorative laminates in hotels, hospitals, shopping malls, airports, educational institutions, and other commercial infrastructures due to the wide availability of designs, colors, textures, etc. Apart from this, the rapid utilisation of decorative interior products in gymnasiums, convention centers, indoor sports clubs, auditoriums, etc., further fuels the market growth.

Indian laminates industry

The growing use of decorative laminates in the non-residential sector is a key factor fueling the growth of the decorative laminates market. Rapid growth of the construction industry coupled with the improving standard of living of consumers is the key factor driving the demand for decorative laminates. Moreover, low installation and maintenance cost of decorative laminates are also driving its market demand. The industry size of decorative laminates is currently ~INR 9000crores and going forward it is likely to increase driven by exports.

Global acrylic solid surface market

Global acrylic solid surface market size is projected to reach USD 1,986.3 million by 2026, from USD 1,470.4 million in 2020, at a CAGR of 5.1% during 2020-2026. Acrylic solid surface is described as a man-made material composed of alumina trihydrate (ATH), acrylic, epoxy or polyester resins and pigments. It is generally used in seamless countertop installations and can be heated and bent in three-dimensional shapes through a process known as thermoforming. Acrylic solid surfaces are used for a wide range of applications, for residential and commercial purposes. It is used in kitchen countertops, sinks, bathrooms, furniture fittings, wall cladding etc. It is also used in commercial spaces such as offices, retail outlets, malls, hotels and bars, hospitals and clinics. Acrylic solid surfaces are durable and affordable, offering a great alternative for natural stone surfaces like granite and quartzmarble countertops. An increase in the number of hotels and restaurants that majorly use acrylic solid surfaces for countertops, furniture, wall cladings, exterior facades, etc. is a key factor for boosting the growth of the global acrylic solid surface market. Besides, the fascination of the HoReCa industry for aesthetically appealing interiors as well as exteriors continues to increase the demand for acrylic solid surfaces. Growing urbanisation, infrastructure development, and technological advancements are some of the other factors that are anticipated to contribute to the growth of the global acrylic solid surface market.

Key drivers for the laminates segment

➤ Upward trajectory in real estate market

Residential real estate has staged a dramatic bounce-back across the top seven property markets in India, despite the devastating second wave of Covid-19 that reversed consumer sentiment across sectors, hitting the economy. Home sales rose 71% year-on-year, with 237,000 units sold in 2021, thus reaching 90% of pre-Covid 2019 levels. A significant rise in homeownership aspirations was supported by developer discounts and offers, government incentives such as Maharashtra's stamp duty cut, and lenders maintaining decadal-low interest rates. India's real estate sector is witnessing a healthy increase in demand in 2022 and this momentum is expected to hold for the rest of the year. Additionally, the luxury housing market is poised to touch new heights in the coming year. While high raw material costs and the ongoing Ukraine-Russia war are likely to be a near-term damper, the industry estimates that the risks due to rising inflation and mortgage rates are overstated. All signals now suggest that residential real estate is heading for a structural growth cycle after years of downtrend. NITI Aayog expects that the Indian real estate sector will reach a market size of \$1 trillion by 2030 and will account for 13 per cent of India's GDP by 2025. Already the third-largest sector to bring about economic growth, the real estate industry is expected to continue its upward trajectory in 2022.

➤ Urbanisation

By the turn of the decade, India is expected to become the world's most populous country, and is currently at the cusp of the Demographic Dividend period. This golden period is expected to last over the next few decades, and is expected to lead to increased income and in turn demand for better quality of life, and homes. Along with the demand for residential sector there is expected to be an increase in demand for office spaces and commercial centers as a result of increased working population across the country especially in Tier I and Tier II cities which will see expansion as satellite towns. As per projections 40% population will be in urban areas by 2030 as compared to 34% in 2018.

➤ Increased demand for housing

Long-term drivers like young earners, increased and dual income, shift toward nuclear families continues to drive the growth in the housing market, especially in the affordable housing segment. As home buyers increasingly look for comfort and higher quality of life, especially with the hybrid work from home models, and people spending more time at home, the demand for aesthetically designed spaces will only rise in the future.

➤ Global trends

Inclination toward better lifestyle and rise in interest in home interior and remodeling especially in young adults who are ready to explore the DIY mode. Increased consumer demand for aesthetically appealing interiors and furniture especially work and study desks as people spend more time in their homes and working remotely.

- Rapid growth of the residential sector in urban as well as semi-urban areas and rise in reconstruction and renovation activities in regions of North America and Europe are estimated to contribute significantly to the overall market growth.
- Increasing demand for interior decoration in indoor commercial places like gymnasium and indoor sports area.
- Preferred over other decorative choices due to low maintenance, ease of availability, low installation and maintenance costs.

About The Company

As Asia's one of the largest laminates manufacturers, Stylam Industries Limited (Stylam) is known for creating industry benchmarks. With world-class manufacturing and rigorous testing processes enables them to deliver differentiated products that meet global standards in quality, design and innovation. At Stylam, the extensive range of decorative laminates, specialty surfaces, PU+ lacquer coating, solid surfaces and compact laminates has become synonymous to high quality across India as well as Europe, the Far East, the Middle East and America. Available in a variety of lengths, thicknesses, sizes and colours, the products undergo rigorous testing and quality checks at par with global standards. The company provides its users the option to choose from multiple finishes in high gloss, metallic, antibacterial, chalkboard, FR, electrostatic, magnetic, mirror, translucent, and chemical retardant laminates.

Factsheet:

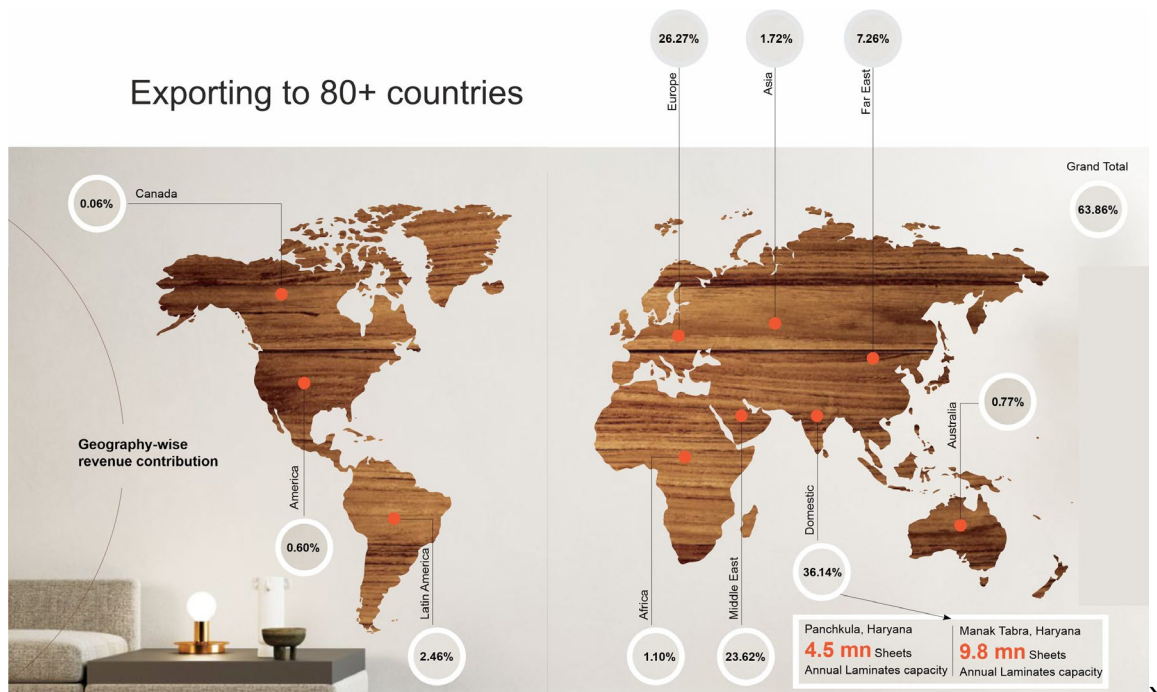
- Asia's largest single-location manufacturing laminate plant
- Largest capacity of hydraulic press in India, with 28 daylight openings in multiple sizes
- 'Three Star' export house with presence in 65+ countries
- Strong brand recall in Europe – one of the world's most quality conscious markets
- Global pioneer of the 'hot coating process' of PU+ lacquer coating on thin laminates made with a patented technology by KLEIBERIT and BARBERAN
- Pioneer of solid acrylic surfaces in India, setting up the first production line to manufacture these products along with an additional line for non-porous modified acrylic solid surface

Manufacturing Infrastructure: One of the largest in Asia



Source: Company, Dalal & Broacha Research

Exporting to 80+ countries



X

Diversified Product Portfolio

Compact laminates

The inner core of our compact laminates is created by the combination of celluloid fibres and unique thermosetting resins. The resins, in combination with the specific heat and pressure cycles, produce a load-bearing strong laminate that is resistant to a wide range of chemical and atmospheric contaminants. They can be saw-cut, drilled, machined and punched to the required specifications due to their strong flexural and tensile strength.

Range and usage

All-purpose application that can be used to add style to wooden claddings, wall and column linings, lift linings, doors, shelves, and storage units, vanity unit tabletops, work tops, desks, and counters, office partitions, cubicles, store fittings, and home and office furniture.

Cuboid

Customised selection of products for areas, where functionality and durability are critical, such as restroom cubicles and lockers.



+Guard

Chemical-resistant laminates are utilised in chemical, analytical, microbiological, healthcare, pharmaceutical and educational laboratories.



Fascia

Weather resistant and engineered to preserve shape, colour, and durability in all-weather conditions, they can be utilised for exterior cladding.



Fire-retardant grade laminates

Fire-retardant laminates that can completely extinguish the flame source, removing the risk of hazardous fumes. Designed specifically for use in fire-prone areas such as kitchens and high-footfall areas such as airports, hotels, hospitals, schools, and commercial buildings.

Industrial laminates

Multi-purpose industrial laminates are available in all brown, black, and sandwiched design core variants. They are designed to have stable geometry under high temperatures and to deform minimally when subjected to stresses. Furthermore, they feature a high strength-to-weight ratio and qualities that do not diminish with age, making them suitable for usage in industrial settings.

Source: Company, Dalal & Broacha Research

Specialty surfaces

Our specialty surfaces are the world's premier collection of value-added decorative surfaces that enrich and distinguish interiors.



Electrostatic Dissipative (ESD) laminates

They are designed to diffuse static electricity in order to protect electronics and other static-sensitive devices from electric charges that could cause damage during production or assembly. They are also dirt and dust particle resistant. As a result, they are ideally suited for use in workstations where static-sensitive electronic components are made, as well as hospitals and medical facilities.

Range and usage



Mirror laminates

Mirror laminates provide significant value to interiors, while remaining durable and a semi-rigid sheet for easy fabrication and handling. They are intended for use as kitchen countertops and cladding, bathroom vanity counters, wash counters, bathroom cladding, tabletops, window sills and frames, decorative cladding, and false ceilings.

MIRROR SHIELD LAMINATE



Magnetic laminates

Magnetic laminates, a high-technology hybrid, add enjoyable and practical components to our high-quality designs. They are a virtually unquestionable addition to any commercial project because they can be written on with chalk or special board markers and quickly affixed directly to the existing laminate using magnets. They are appropriate for use in retail, education, commercial, residential and other locations.

MAGNETIC LAMINATES



Metallic laminates

Metallic laminates are created with high-quality metallised aluminium foil sourced from Europe. They have bright and reflective surface elements that give the environment a modern and sleek appearance. They are also available in high metallic laminates and are used in a variety of industries including hospitality, interior design, gaming and entertainment, and retail signage display furniture. They are also suitable for kitchens, home furnishings, tabletops and worktops, edge bands, skirting boards, doors, interior wall cladding, mirror tiles, and white boards.

Source: Company, Dalal & Broacha Research



Synchro laminates

Synchro laminates are designed to work in tandem with the pattern on the décor paper to create an identical duplicate of the design seen. These laminates are popular among architects, designers, and homeowners that value quality and wish to add a unique touch to their interiors. They can be used in high-end commercial settings as well as work surfaces, cabinets, flooring, panels, countertops, and interior walls in homes.

SYNCHRO
LAMINATES



Chalk/Marker laminates

They deliver surface durability and can be used with dry and wet erase markers. Their intrinsic properties make them ideal for office meeting rooms, patient boards, memo boards, athletic facilities, and cafeteria menu boards.

**CHALK BOARDS &
MARKER BOARDS**



Post forming laminates

They are exclusively designed for usage on surfaces where the laminate is required to roll in a simple radius around the edges of a substrate. They improve the ornamental feature of any standard laminate's edges by leaving no seams around corners. This makes them ideal for shutters, countertops, cabinet doors, storage cabinet doors, and shelving systems that have uneven corners.

POST FORMING
LAMINATES



Digital laminates

With customisable printed laminates encompassing themes ranging from nature and sports to cuisine and romance, digital laminates give architects and designers the much desired artistic leeway. They are versatile and provide a unique aesthetic appeal to interior décor walls, divider walls, multi-purpose furniture stands, children's rooms, exhibition images and doors.

DiGidelight
DIGITAL LAMINATES



Unicore laminates

Unicore laminates are a one-of-a-kind combination of identical colours and core-layered decorative surfaces. They can be employed as a decorative element in the home as well as in the hospitality industry.

UNICORE
LAMINATES



Flicker laminates

With a sparkle that transcends serenity, flicker laminates are available in two colours of silver and copper. They are used in kitchens, baths, decorative units, clubs, and showrooms, as well as the events industry.

Awards & Recognitions



The ISO 9001:2015 certification is a hallmark of integrity, quality and reliability. The design and efficiency of the laminates have earned us the CE Marking Award

Stylam takes pride in being recognized as:

- Export House by the Government of India, meeting all the quality, safety and green standard requirements while operating as a responsible corporate citizen.
- Recognised by Financial Times and Statista as one of the FT 1,000 High- Growth Companies Asia-Pacific 2018.
- Honored with the Power Brands Rising Star Award 2016.
- Honoured by the Renewable Energy Department for commendable work in adopting energy conservation measures under the L.T. Industry Category

Promoter details

Mr. Jagdish Gupta, the co-founder of Stylam, has been at the forefront of the Company's growth, constantly developing new business strategies across geographies. He has been instrumental in making Stylam an industry leader and in introducing new initiatives while incorporating the best corporate governance practices and promoting the highest level of integrity and probity. He provides overall guidance, direction and strategy to the Company while also looking after its international markets.

Key Managerial Personnel:

Manit Gupta: Executive Director

Mr. Manit Gupta is a chemical engineer and holds an MBA degree. He was appointed as the Director in 2012. He heads the international marketing division and looks after other commercial management aspects of the Company.

Sachin Bhatla: Executive Whole-time Director (Technical)

Mr. Sachin Bhatla is an engineer by qualification, with a rich experience across various technical roles and operations. Associated with Stylam for more than 16 years, he was promoted to the designation of Director – Technical in 2018. He looks after the technical advancement of Stylam.

Manav Gupta: Executive Whole-time Director

Mr. Manav Gupta is computer engineer and holds an MBA degree. He was appointed as the Director in 2012. He heads domestic marketing and sales at Stylam and looks after general administration and raw material sourcing.

Shareholding pattern as on 31/03/2022

Shareholding pattern (%)

	Sep-21	Dec-21	Mar-22
Promoters	54.61	54.61	54.61
Public shareholders			
- Mutual Funds	4.38	4.41	4.42
- AIF	4.13	4.19	4.13
- FPI	4.89	4.92	5.21
- Insurance companies	0.32	0.72	0.72
- Others	31.67	31.15	30.91

Source: Company, Dalal & Broacha Research

FINANCIALS

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	4,621	4,795	6,593	9,330	10,857
Total Operating Expenses	2,491	2,465	3,755	5,262	6,123
Employee Cost	375	383	548	600	650
Other Expenses	959	957	1,255	2,006	2,206
Operating Profit	796	990	1,036	1,462	1,877
Depreciation	210	231	233	249	295
PBIT	586	759	803	1,213	1,582
Other income	10	11	80	40	40
Interest	109	60	78	66	42
PBT	487	710	805	1,187	1,580
Profit before tax (post)	335	710	805	1,187	1,580
Provision for tax	146	157	195	303	403
Reported PAT	189	553	610	884	1,177
MI	-	-	-	-	-
Net Profit	189	553	610	884	1,177

Balance Sheet (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Equity capital	85	85	85	85	85
Reserves	1,958	2,510	3,076	3,918	5,053
Net worth	2,042	2,595	3,161	4,003	5,138
Non Current Liabilites	577	426	230	218	193
Current Liabilites	1,334	1,051	1,498	1,946	1,942
TOTAL LIABILITIES	3,953	4,071	4,889	6,168	7,272
Non Current Assets	2,105	1,933	1,830	2,164	2,172
Fixed Assets	2,061	1,878	1,787	2,119	2,124
Goodwill	-	-	-	-	-
Non Current Investments	15	14	11	11	11
Deferred Tax Asset	-	-	-	-	-
Other Financial Assets	13	14	15	15	15
Other Non Current Assets	16	27	16	19	21
Current Assets	1,847	2,138	3,059	4,004	5,101
Current investments					
Inventories	667	718	1,329	1,335	1,552
Trade Receivables	874	986	1,188	1,592	1,851
Cash and Bank Balances	61	151	87	553	1,094
Short Term Loans and Advances	0	0	0	0	0
Other Current Assets	245	282	456	524	602
TOTAL ASSETS	3,953	4,071	4,889	6,168	7,272

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	189	553	610	884	1,177
Add: Dep. & Amort.	210	231	233	249	295
Cash profits	399	785	843	1,133	1,472
(Inc)/Dec in					
Sundry debtors	(85)	(113)	(201)	(404)	(259)
Inventories	(5)	(51)	(611)	(6)	(218)
Other financial assets	149	(13)	10	(2)	(3)
Other Current Assets	12	(37)	(174)	(68)	(79)
Current Liab and Provisions	58	(77)	(39)	114	5
Sundry Creditors	82	160	65	421	163
Change in working capital	211	(131)	(949)	55	(390)
CF from Oper. activities	610	654	(106)	1,188	1,082
CF from Inv. activities	187	(47)	(139)	(580)	(300)
CF from Fin. activities	(758)	(517)	181	(141)	(241)
Cash generated/(utilised)	39	90	(65)	467	541
Cash at start of the year	22	61	151	87	553
Cash at end of the year	61	151	87	553	1,094
Balance sheet	61	151	87	553	1,094

Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	17.23%	20.65%	15.71%	15.67%	17.29%
NPM	4.08%	11.51%	9.14%	9.44%	10.80%
Tax Rate	43.57%	22.08%	24.19%	25.50%	25.50%

Growth Ratios (%)

Net Sales	0.33%	3.76%	37.50%	41.50%	16.37%
Operating Profit	-0.32%	24.37%	4.60%	41.12%	28.41%
PBIT	-6.10%	45.68%	13.39%	47.50%	33.11%
PAT	189	553	610	884	1,177

Per Share (Rs.)

Net Earnings (EPS)	11.2	32.6	36.0	52.2	69.5
Cash Earnings (CPS)	12.4	13.7	13.7	14.7	17.4
Dividend	-	-	2.5	2.5	2.5
Book Value	121	153	187	236	303
Free Cash Flow	25	36	(15)	36	46

Valuation Ratios

P/E(x)	96	33	30	20	15
P/B(x)	8.8	7.0	5.7	4.5	3.5
EV/EBIDTA(x)	23.8	18.5	18.0	12.4	9.2
Div. Yield(%)	0.00	0.00	0.23	0.23	0.23
FCFF Yield(%)	2.34	3.36	-1.36	3.36	4.33

Return Ratios (%)

ROE	9.26%	21.32%	19.30%	22.09%	22.91%
ROCE	19.65%	25.13%	21.08%	26.64%	28.83%

Source: Dalal & Broacha Research

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